The most famous example of the assignment principle lies in monetary policy. There was a time when we thought that RBI would pursue multiple objectives. Now we understand that the most that RBI can do for us is deliver low and stable inflation. Hence, the RBI Act was amended in 2016 to enshrine CPI inflation of 4 per cent as the objective of RBI. Once this has been done, it is no longer possible for RBI to pursue auxiliary objectives such as the level of the rupee, export promotion, financing of small and medium enterprises (SMEs), promotion of cashless transactions, etc.

On a similar note, there is a certain degree of mission creep and confusion about NREGS. Is this an anti-poverty programme, or is it about creating rural infrastructure? Going by the assignment principle, it is best to think about NREGS as a pure poverty programme, and not burden it with additional objectives.

The assignment principle links to some of the thinking in the 1950s about the role of the Ministry of Finance versus the Planning Commission. The idea at the time was that the Ministry of Finance would think on a one-year budget horizon, wielding the instrument of the budget, while the Planning Commission would think about deeper issues in public policy formulation wielding an array of different instruments. Now that the Planning Commission has been disbanded, we will need to build a medium-term budget system that incorporates both points of view. There is a need to clearly define the role and function of NITI Aayog in this new environment, so as to fill these gaps in the mainstream policy apparatus.

The assignment principle shows a founding defect in the International Monetary Fund (IMF). [2] At the core of the IMF is a ‘quota regime’. This is a single instrument which aims to pursue three goals. Quotas determine the contribution of countries to the IMF. Quotas determine the access by members to the IMF’s resources. Finally, quotas determine voting power within the IMF. By placing three problems—contribution, access, voting—within one instrument, we have created a problem. An arrangement of quotas which appears sound with respect to any one objective will appear wrong on the others.